

Archer Daniels Midland: Navigating Market Shifts with a Focus on Food Waste Reduction

Executive Summary

ADM faces a challenging market landscape, but strategic investments in sustainability, particularly in reducing food waste, present significant opportunities for both financial and environmental gains. With annual revenue declining from a high of \$101.556B in 2022 to \$85.53B in 2024, and a further 4.86% year-over-year decrease in the quarter ending June 30, 2025, ADM can leverage food waste reduction as a key driver for efficiency and innovation.

Untapped Potential: Why ADM Is Positioned to Lead

While specific, publicly available details on ADM's internal food waste reduction programs are limited, the company's vast scale and position within the food value chain present substantial opportunities. ADM operates over 270 manufacturing facilities globally, processing grains and oilseeds into ingredients for food, beverages, animal feed, and industrial products. This extensive network means even marginal improvements in waste reduction can translate into significant cost savings and environmental benefits.

Supply Chain Opportunities: Where Food Is Wasted

Given ADM's role as a major processor, key areas for food waste reduction likely exist within:

- Processing inefficiencies: Optimizing milling, refining, and other processes to minimize byproducts and loss.
- Storage and transportation: Reducing spoilage and damage during storage and transport of raw materials and finished goods.
- Ingredient optimization: Reformulating products to utilize byproducts or less-than-perfect ingredients without compromising quality.

Partnership Ecosystem: Current and Potential Allies

ADM already recognizes the value of collaboration. The company's partnership with the World Food Program USA since 2005 demonstrates a commitment to addressing global food security. Expanding this commitment to include active participation in initiatives like the U.S. Food Waste Pact, led by ReFED and World Wildlife Fund, would provide a structured framework for setting targets, measuring progress, and sharing best practices.

The Business Case: ROI on Food Waste Reduction

Reducing food waste is not just an environmental imperative; it's a sound business strategy. By minimizing waste, ADM can:

- Reduce input costs: Less waste means less raw material needed, directly impacting the bottom line.
- Improve operational efficiency: Streamlining processes to minimize waste can lead to greater overall efficiency.
- Enhance brand reputation: Consumers are increasingly demanding sustainable products and practices. A strong commitment to food waste reduction can enhance ADM's brand image and attract environmentally conscious customers.
- Unlock new revenue streams: Byproducts previously considered waste can be repurposed into new products or sold as inputs for other industries.

A Company in Transition: Opportunities Amid Change

Recent market signals highlight the need for ADM to adapt and innovate. The company's third-quarter operating profit in the nutrition segment decreased from \$480 million to \$379 million year-over-year, and crushing profits fell dramatically by 93%. While these declines are attributed to factors like biofuel policy and international trade flows, they also underscore the importance of identifying new sources of efficiency and revenue. Food waste reduction can be a key component of this strategy.

Next Steps: A Roadmap for Collaboration

To accelerate its food waste reduction efforts, ReFED recommends ADM consider the following:

- Join the U.S. Food Waste Pact: This would provide access to a network of peers, best practices, and resources.
- Conduct a comprehensive food waste assessment: Identify the key sources and quantities of food waste across ADM's operations.
- Set ambitious, measurable reduction targets: Publicly commit to reducing food waste by a specific percentage within a defined timeframe.
- Invest in innovative technologies and solutions: Explore opportunities to implement technologies that can help prevent, recover, or recycle food waste.
- Engage employees and stakeholders: Foster a culture of waste reduction throughout the organization.
- Partner with ReFED: ReFED can provide data-driven insights, technical assistance, and connections to potential partners to support ADM's food waste reduction efforts.

By embracing a proactive approach to food waste reduction, ADM can not only improve its financial performance but also strengthen its commitment to sustainability and contribute to a more resilient and equitable food system.